

The second term is when you end up getting much more complacent. The good thing about the current government is that a lot of the good decisions have, in fact, been taken in the second term... I think it is more than just about reforms; it's also about not doing the bad things. And what do I mean by not doing the bad things? One thing, which I was completely against, was for the government to go out and do some massive stimulus, as was being recommended by many people in 2020. Now, that would have just been completely irresponsible.

Q: But the government was under a lot of pressure from leading academics for not spending enough...

A: I'm happy that we resisted doing any big stimulus... But a lot now needs to come through in the actual numbers—they're still a bit slow to move. For example, look at the amount of foreign investment coming into the country today. FDI [is at] just over 1 per cent of GDP. When China was booming, it was attracting FDI of 4 per cent of GDP. Today, on average, other emerging markets attract about 2 per cent of GDP in terms of FDI.

Q: Why do you think India isn't getting more FDI?

A: I think that these things take some time to come through. But... it's also a lot about how domestic businesses are investing. Because if you look at India today, where is the investment boom? It's happening on the government side.

Q: We're seeing some green shoots of private investment. Do you think that this could lead to a five-seven-year investment cycle?

A: With India, the line I've always used is that this is a country that [has] consistently disappointed the optimist and the pessimist. So, I think the pessimists have been proven wrong. My hope now is that the optimists [aren't] proved wrong as well... the government needs to do a bit more of introspection about why private investment is not picking up.

ON THE GOVERNMENT'S MEASURES

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ON PRIVATE INVESTMENTS

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ON INDIA'S STOCK MARKET POTENTIAL

I had projected that the Sensex would hit 100,000 in a decade. I think that is a pretty reasonable assumption. The issue is the pace at which it does well... The expectations of India today are very high; those expectations are reflected in the valuations of the stock market

Q: Why is private investment not picking up?

A: I think one of the factors is that the state machinery needs to be reined in a bit... the amount of power that some of the investigative agencies, tax authorities have in India is extraordinary... If you look at the successful East Asian economies, they were very clear about having a very efficient state, [and its] involvement in the economy, especially in this regard, kept being pulled back. Even in places like China, before Xi Jinping came to power, the private sector had a lot of room to run. I think [in India] there's the fear [of] whether the income tax department, CBI or ED is on your case. I think that is something we need much more streamlining of. Because I think it's those kinds of factors that play on the minds of businesses.

One thing I had pointed out earlier is that we need a lot more of domestic businesses to stay in India—data that I had analysed back in 2018. With the number of millionaires leaving India, that number was surging back then. Luckily, in the past couple of years, that number has stabilised.

Q: The government hopes that its production-linked incentive scheme will lead to more manufacturing coming into India. How effective has the PLI scheme been?

A: I think it's too early to judge. I recently did an analysis, looking at the list of billionaires around the world. Now, if you look at India, we have 169 billionaires—that's a huge increase... If you look at the billionaires in India today and their share of the total economy, it's the second highest after Russia among all emerging markets. That's a bit concerning. But here's the good news... the maximum number of billionaires, about 35 of them, now come from the manufacturing sector. That's a huge change, because even five years ago, you would barely find a dozen coming from that sector.

Q: But one of the aspects of the research you're citing is the concentration of billionaire wealth, which you think is one of the risks that India faces. That 20 per cent of the